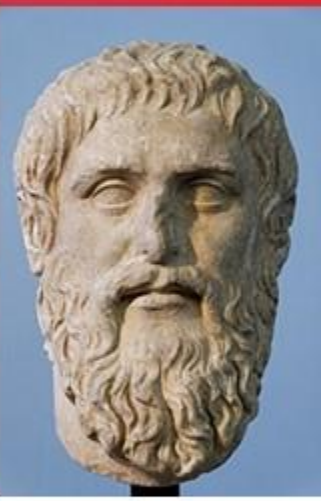
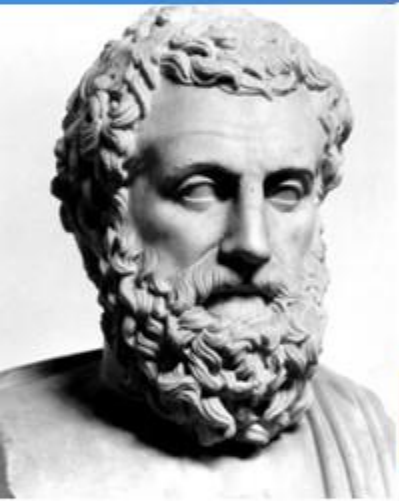


ETHICS, INTEGRITY & APTITUDE



MODULE – 35

CORRUPTION-1

CORRUPTION

WHAT IS CORRUPTION?

- 1 Derived from the Greek word called 'Corruptus' which means to bend - Bend rules and regulations.
- 2 World Bank defined Corruption as use of public office for personal gains.
- 3 2nd ARC in its report on Ethics in governance had come out with a formula to define corruption.

$$\text{Corruption (C)} = m + D + S - A;$$

Where **m** - Monopoly of state

D - Discretion powers in hands of rulers

S - Secrecy in administration

A - Accountability (Absence of accountability mechanism)



ETHICS, INTEGRITY & APTITUDE

CORRUPTION

FACTORS RESPONSIBLE FOR CORRUPTION IN INDIA

Corruption is Systemic and Systematic in nature

SYSTEMIC	SYSTEMATIC
Related to functions of systems i.e., 1. Political 2. Economic 3. Administrative 4. Social and Cultural	1. Takes place in a highly organized manner – Systematic – Anything but arbitrary – Takes place continuously. 2. Not because of one person, but related to systems and functioning of institutions.

i

POLITICAL SYSTEM

1 Elections in India is a costly affair. In 2019 elections to Lok Sabha, conservative estimates of political parties spending is Rs. 55,000 Crores. On an average, a candidate contesting for Lok Sabha spent Rs.30 Crores.

2 Government has complete monopoly, centralized top down model (Nehruvian model of development).

3 Those who are part of ruling community use monopoly power, use resources of people for personal gain.

4 We continued with colonial structure which are highly secretive nature like “Official Secrecy Act”.



**THE
OFFICIAL
SECRETS
ACT, 1923**

[Act No. 19 OF 1923]

i

POLITICAL SYSTEM

5 No accountability – Political executive is only morally responsible but not legally accountable. Eg: Manifesto – Morally responsible.

6 In 2014, Donations – Rs.3000 Crores, Rest Rs. 47,000 Crores is Black money from Businessmen.

- Fund the political party for favourable policy making to them.
- Political parties bribe voters.

7 Position and power perceived as means to increase wealth.

We implemented economic reforms but not administrative reforms



CORRUPTION

ii

ECONOMIC FACTORS

1 **Crony Socialism** – Between 1950s and 1990s (Unholy nexus between political executive, bureaucracy and businessman in the name of Socialism)

- Management of Public Service Commissions
- Welfare schemes
- Licence quota permit.

2 **Crony Capitalism** – After 1990s – LPG reforms (Free market)

- Dismantled licence quota permit raj
- Ended monopoly of PSEs
- Allowed foreign investments to ensure better competition

- 2**
- Corruption has increased quantitatively and qualitatively.
 - The consequence of Globalization, liberalization was huge demand for natural resources which are under Monopoly of state.
 - Businessmen paid huge bribes to political executive and bureaucracy to gain control over these resources. It resulted in Crony Capitalism.



CORRUPTION

ii

ECONOMIC FACTORS

3 In **Capitalism**, a person can become rich through his **hard work**, **intelligence** and **innovation** whereas in **Crony Capitalism**, it is his **proximity to people in positions of power** that helps him/her to **become rich** in short period of time.

- Example-1: Public Private Partnership projects:

1 Rs. 8 Lakh Crores struck in these projects

2 One of major instruments of corruption in 2G era

3 Maximum corruption in fixing user charges has always remained – **Government** as **looser** and **Private sector** as **Gainer**.

4 **Tolls** keep on **increasing**, it should come down.



CORRUPTION

ii

ECONOMIC FACTORS

4 Robert Vadra – Every state fix price based on Land use policy

- Agriculture – Less price
- Industrial – More
- Residence – Still more

He purchased lands in UP, Haryana, Delhi through name of state industrial policy at subsidized rates

- Change in land use price raised land costs.
 - Partnered with DLF.
- It may not be illegal but it is immoral.

5 In India, problem is with institutions whose credibility depends on individuals.

Eg: T.N.Seshan – Election Commission;
CAG: Viond Rai



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ii

ECONOMIC FACTORS

- 6 In countries like **UK**, institutions are **accountable** and always **efficient** irrespective of individuals.
- 7 Maximum scams in **Defence ministry** in India – **Defence secretary** as **CAG** is immoral, but Supreme Court said that It can't interfere in appointments.
- 8 America in 1930s, Roosevelt during Great depression made companies pay.
- 9 2010, **Obama** gave them bailout package(incentives).



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iii SOCIAL AND CULTURAL FACTORS*Trusteeship model – Leasing of resources*

- 1** There is complete transformation of Indian society similar to the transformation western countries witnessed after Industrial Revolution, after LPG reforms.
- 2** Societies became materialistic and led to massive levels of corruption. Became consumeristic and witnessed demonstration effect

- 3** People from 3rd World countries imitating habits of people from 1st World. It resulted in conspicuous of consumption.

- Huge money spent of unnecessary luxuries
- Resulted in Americanization of our societies.



iii

SOCIAL AND CULTURAL FACTORS

Trusteeship model – Leasing of resources

4

Our culture is different in terms of western culture, tradition, customs and habits which are very costly.

- Those who are poor moved to illegal and immoral practises.

5

People now came to accept corruption – subsidies, farm loan waiver.

- Means have become irrelevant.



CORRUPTION

iv ADMINISTRATIVE FACTORS

1 Colonial administrative structures responsible for corruption in India.

- British has designed structures with objective of exploitation of resources. We continued it.

ITS FEATURES

1 Absolute monopoly of state over resources of country.

2 Centralization of power in hands of people at top.

3 High levels of secrecy in governance i.e., in decision making and implementation process.

4 Complete absence of accountability mechanisms right from top levels in hierarchy to lowest levels.

5 Huge amount of discretionary powers in hands of officials.

6 Complete absence of grievance redressal and citizen participation in governance.

These features still prevail in our administrative systems.



CORRUPTION: GOOD OR BAD

Why some people believe it as good?

- 1 In Economics, corruption is defined as **rental activity**, i.e., factors of production are incentivised to improve their efficiency.
- 2 Bureaucracy is known for **Red tapism** and **inefficiency**. It results in time and cost overruns.



- 3 Capitalism demands **efficient utilization of resources**. In the age of Globalization and Liberalization, private sector performance depends on policies formulated and implemented by the government.
- 4 In western countries, administrative systems are efficient whereas in countries like India, bureaucracy is inefficient and unproductive.



CORRUPTION

CORRUPTION: GOOD OR BAD

Why some people believe it as good?

- 5 It makes our private sector less efficient compared to their counterparts in other countries.
- 6 It is believed by economists that some corruption is necessary to motivate bureaucracy to improve their performance. It will benefit private sector as well as country as a whole.
- 7 Example: You are a businessman – Spent Rs. 10,000 Crores.

- 7 New guidelines by environment ministry
– Takes 1 year for clearing licences or Rs.10 Crore bribe to get done quickly.

- 8 Other reasons to justify:

- Everyone else in system is corrupt, what is point of one person being honest.
- If you are very honest- Cause harm to your life and family members also. Eg: Honest bureaucrats getting killed.

CORRUPTION: GOOD OR BAD

Why corruption is bad?

- 1** Widens inequalities between rich and poor.

Example:

- Businessmen pay bribes and put the cost on customer
- Poor become poorer – Inflation – Real income of people become less
- While Inflation Benefits producers, it impacts consumers adversely.

- 2** Corruption may increase Bureaucracy performance. But in long term, corruption has adverse consequences.

Example:

- India between 2003 and 2011 – Growth rate is 9% per annum and also witnessed massive scams.
- By 2014 – Growth declined to less than 4.5% because government investments needed have come down drastically.



CORRUPTION: GOOD OR BAD

Why corruption is bad?

3 Because private sector lost confidence in system because of corruption, they are not wanting to invest

4 Judiciary influence

- cancelled all licences – 2G (Cancelled 122 licences), Coal etc.
- Created instability, insecurity.

5 Investments come only when political stability and policy certainty prevail.

6 Private sector stopped investing because of uncertain future.

Not all cancelled 122 licences' companies paid bribes. Honest companies also lost money.



CORRUPTION

CORRUPTION: GOOD OR BAD

Why corruption is bad?

- 7 In India, there is **no enforcement of contracts**, corruption adversely impacts growth and development.
- 8 As per world bank, had there been no corruption in India in last 20 years, average annual growth rate would have increased by 2% points.
- 9 Argument of incentivising bureaucracy through bribes is wrong both legally and morally.
 - Legally: It **violates code of conduct for civil servants**.

- Morally: Bureaucrats are paid by government to perform these functions.
 - ✓ If they are not satisfied with their salaries or other service conditions, they must demand the same from the government. They can't take bribes.
 - ✓ Their performance can be improved by implementing civil services reforms.



THE WORLD BANK

CORRUPTION

CORRUPTION: GOOD OR BAD

Why corruption is bad?

10 Corruption divides society:

- Rich people – Access to bureaucracy.
- Poor people – Left out of system.

11 Corruption impacts poor people much more adversely than rich people.

12 According to survey conducted by Planning Commission. People living below BPL have paid Rs. 27,000 Crore money as bribes per annum to get essential services from the government like food, clothing and shelter which is their right.

13 It also said that 50% of Indians had experience with corruption.



CORRUPTION

CORRUPTION: GOOD OR BAD

Why corruption is bad?

14 Corruption = Wealth without work is a **sin**.

- It results in conspicuous consumption of money spent on luxuries.
- Resources in economy are diverted for production of these luxurious goods because markets produce only those goods for which there is demand.
- Eg: Every village in India has access to beverages but have no access to safe drinking water.

15 Corruption can have serious consequences on safety and security of the nation.

Examples:

- 1993 Mumbai blasts – RDX was illegally transported into India due to corruption in customs department.
- Illegal migration – Corruption in army (BSF), Pathankot attacks.
- Most of wars (Tipu Sultan battle, Battle of Plassey) – Corruption had role. Army officer of Tipu Sultan was bribed and opened gates.



CORRUPTION

CORRUPTION: GOOD OR BAD

Why corruption is bad?

- 16** Even one is honest, it will make difference. She/He Can be a role model.

Example:

- Gandhi is single when he started fight in South Africa. Persons with strong value system can change ethical norms.

- 17** Cause harm to self and family.

- Mahabharata – Krishna said, “I didn’t stop mahabharat because all those who are silent during draupadi incident had no right to live”

- 17** ➤ Ashvaddama: Protest during incident – He was alive at the end of the war.

- 18** In the battle between good and bad, we can’t remain silent. One should be ready for sacrifice.



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